



Tangled

The first draft of the telecom Bill has raised more questions than it has answered

BY **PRERNA LIDHOO**

► **IN INDIA, IT** is common to place calls over messaging apps in places with patchy cellular networks. But does that mean that over-the-top (OTT) messaging services like WhatsApp and Signal can be considered telecom service providers? The recently introduced draft Indian Telecommunications Bill, 2022, seems to think so. The Bill has placed OTT communication services like WhatsApp, Signal, and Facebook, internet and broadband companies, and even in-flight communication services under the umbrella of ‘telecom services’. The government is expected to release a second draft of the Bill after receiving feedback from stakeholders.

Telecom operators like Bharti Airtel, Reliance Jio, and Vodafone Idea have been pushing for regulation of OTT communication apps. The Cellular Operators Association of India (COAI) says uniform regulations should be adopted for all OTT players, including communication over apps such as WhatsApp, Signal, and Telegram. It says that the Department of Telecommunications (DoT) should define OTT communication services in the Bill to ensure a level playing field for all.

However, Mahesh Uppal, Director of ComFirst, a telecommunications consultancy firm, says the comparison is misplaced. While OTT apps provide a subset of services that are common to telecom companies, they aren’t peers. “OTT players depend on a telecom company to offer their services. If they [telecom

companies] don’t provide a network, you can’t use WhatsApp,” he explains, adding that the rules for telecom companies are not simply for providing phone or text services; and their revenues, too, are not just based on them. Other services such as broadband and data contribute significant revenue.

On bandwidth, the COAI highlights another point. It says that OTT players consume a huge amount of bandwidth, which puts pressure on the network infrastructure established by telecom operators. Uppal, however, says that there is another side to it. “OTTs are credited with bringing a lot of business for telecom companies. If there is no WhatsApp or Zoom, telecom companies’ data services won’t be used much,” he says.

Currently, telecom companies are mandated to buy spectrum and comply with regulations for offering voice and data services while OTT players are allowed to provide free audio and video calling, the COAI says. It adds that the OTT players enjoy all the privileges of delivering the same services as telecom operators, without having to bear any of the regulatory or security obligations, and investment or network requirements.

Meanwhile, the Asia Internet Coalition—that represents big tech firms such as Meta, Apple, Alphabet, and Amazon—has also raised concerns about the Bill, saying that the government may ask messaging platforms such as WhatsApp and Signal to break encryption and disclose messages in response to surveillance orders. However, a section of the industry feels that regulating OTT communication services is a must for end-user protection and national security.

With so many concerns raised about the first draft of the Bill, it seems that an updated telecom law is still some distance away. **BT**

OTTs ARE FREE FROM ANY OBLIGATIONS BUT ENJOY ALL THE PRIVILEGES OF DELIVERING THE SAME SERVICES AS TELECOM OPERATORS, SAYS THE COAI

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